NHPC Ltd

NHPC

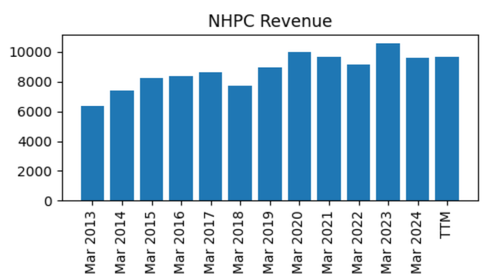
Key Financial Metrics

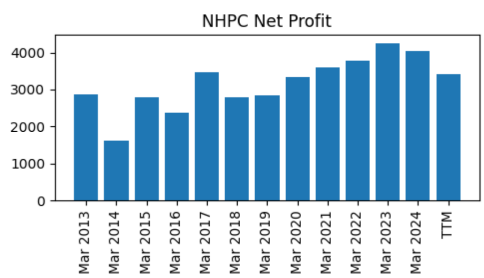
ROE 8.51%	**ROCE** 6.74%	**Debt / Equity** 0.85
Revenue CAGR 3.81%	**FCF Conversion** 172.24%	**Quality Score** 39.75

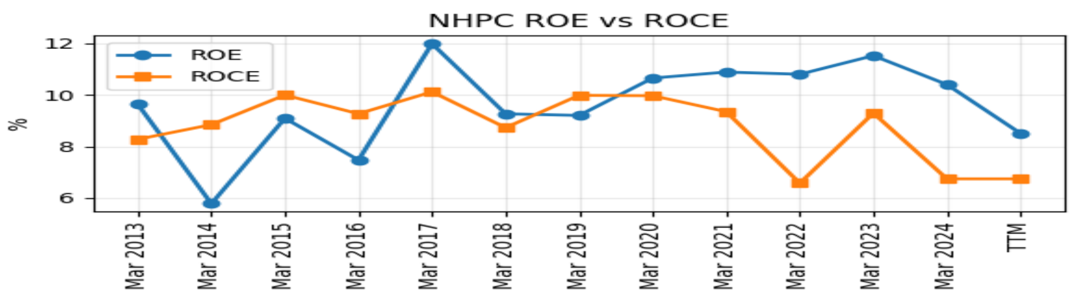
Company Profile

Company	NHPC Ltd
Sector	Energy
Industry	Power & Utilities
Market Cap (■ Cr)	1,740,404.25
P/E Ratio	71.17
P/B Ratio	13.74
Dividend Yield	1.68%

Financial Performance







AI Investment Summary

NHPC Ltd currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, average capital efficiency, limited revenue growth, high quality cash-flow quality and manageable leverage. The overall financial quality score is 39.8/100. Key strengths include: Strong free cash flow generation over 5 years signals healthy business fundamentals.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: Return on capital employed below 10% indicates weak capital efficiency.; Low revenue growth may indicate a lack of business momentum.; Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline.	• Return on capital employed below 10% indicates weak capital efficiency. • Low revenue growth may indicate a lack of business momentum. • Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

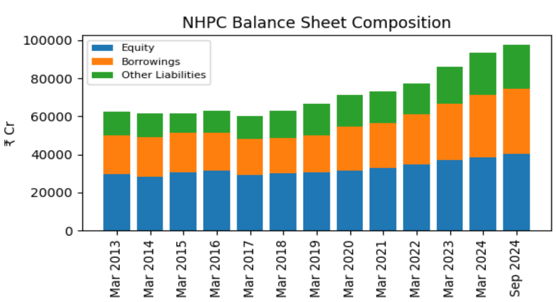
Investment Recommendation

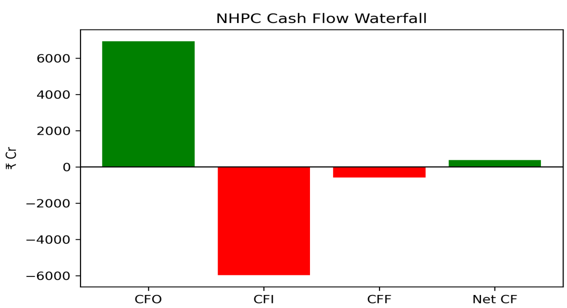
Recommendation	**REDUCE**
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:
The recommendation is based on an adjusted financial score of 39.8/100, supported by 2 identified strengths, 3 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 39.8

Balance Sheet & Cash Flow





Financial Health

Profitability	Weak
Growth	Weak
Cash Flow	Strong

Leverage	Moderate
Valuation	Expensive

Capital Allocation

Shareholder Returns